

CAPSTONE PROJECT (UTM)

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Loan Risk

What are the factors that determine loan eligibility?

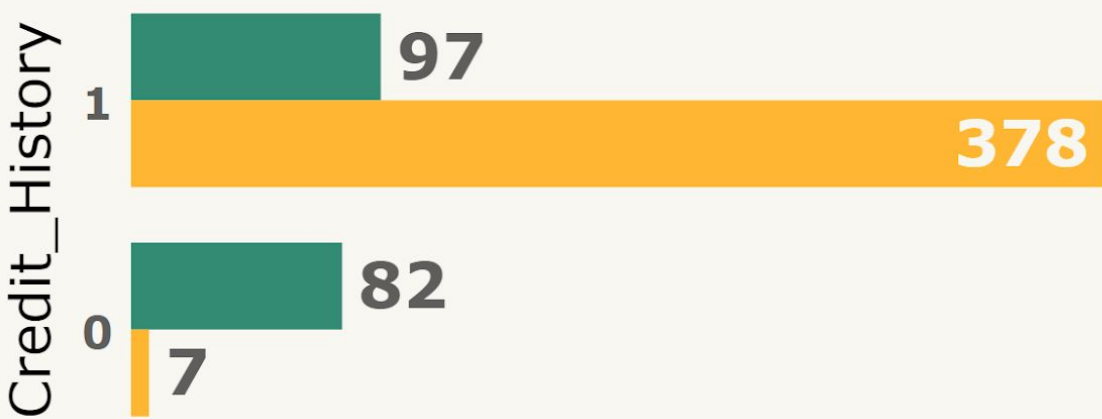
TEAM HELLO WORLD - UTM



The main factors are **credit history**, **self-employment** based on the **household group** and **property area**.
Please consider promoting credit card among potential applicants to enhance their credit history.

Credit history is the main factor to determine the **loan status**(**N**/**Y**) and avoid **loan default**(**N**/**Y**).

B40: <5K
M40: 5-11K
T20: >11K



Count of Loan_Status



Count of Loan_Default

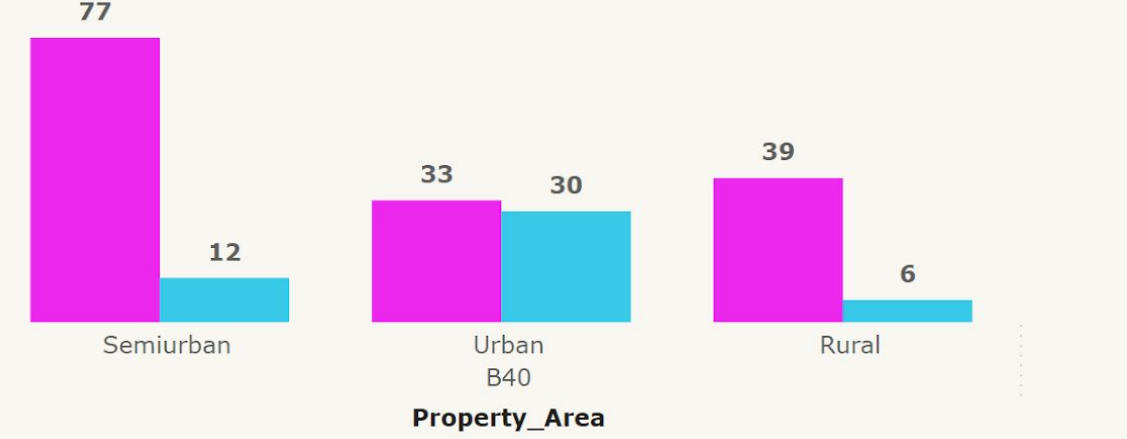
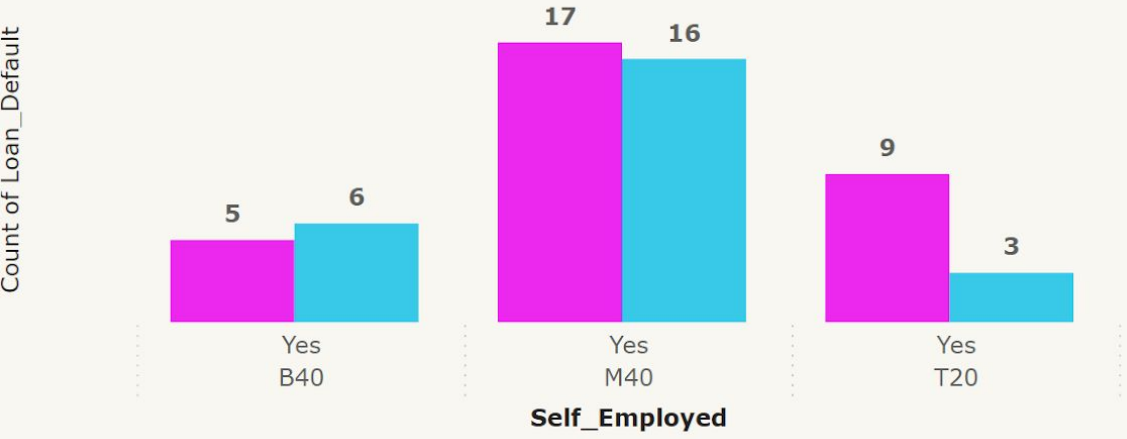
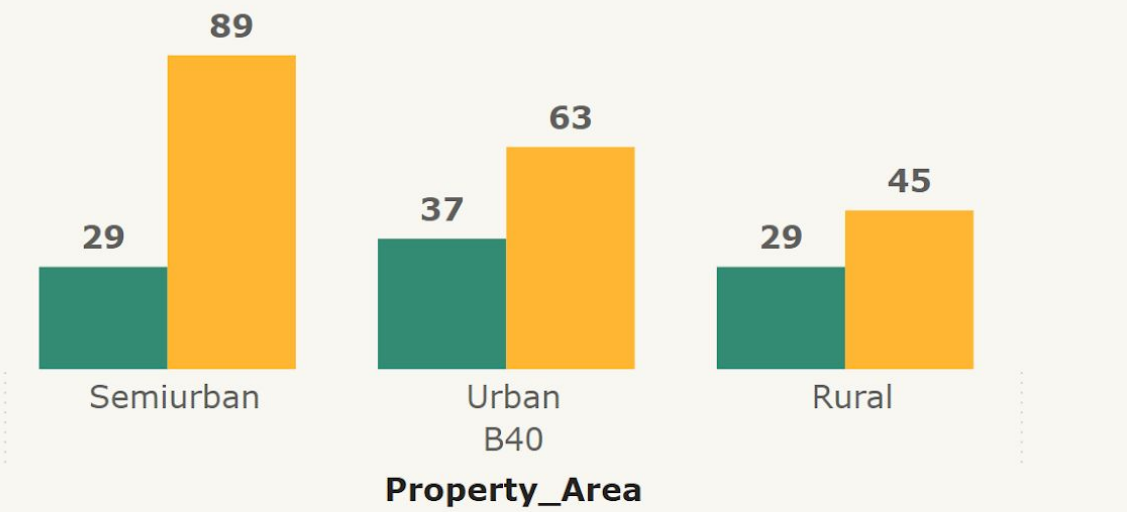
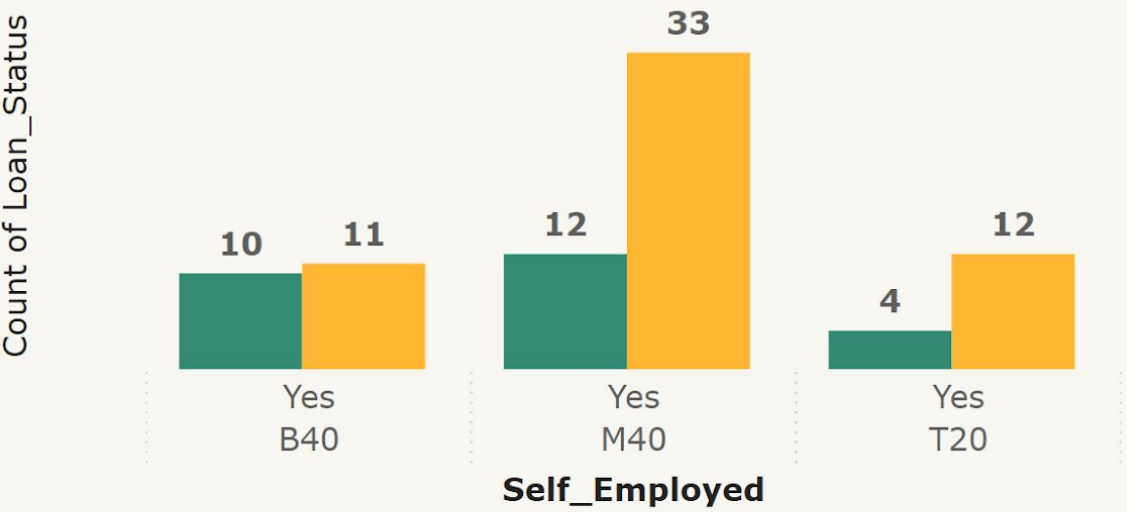
The main factors are **credit history**, **self-employment** based on the **household group** and **property area**. ↔

Please consider reducing approval status of self-employment for M40 and increase the approval status especially for B40 in rural area.

Self-employment based on household group is another factor to determine the **loan status(N/Y)** and avoid **loan default(N/Y)**.

Property area based on household group is another factor to determine the **loan status(N/Y)** and avoid **loan default(N/Y)**.

B40: <5K
M40: 5-11K
T20: >11K



How to curb defaulted cases?

Bussiness solution proposed



Make credit history as our main considered criteria

- Promote Credit Card to the public
- Increase public awareness about the importance of credit history



Gamification

- Introduce gamification in the loan application process.
- Offer rewards or points for timely loan repayments

Design Thinking



Empathize

The analysis is done on the dataset that contains:

- Genders
- Marital Status
- Incomes
- Loan Details
- Credit History
- Property Area

Define

- What are the factors that determine loan eligibility?
- How do we reduce the defaulted cases during loan approval?

Ideate

- Determine the most important and effective factor to help us determine loan eligibility.
- Determine what to do or how to improve the system based on the factor.